

NYKAA IPO ANALYSIS

INVESTMENT MEMO

Company

Nykaa (FSN E-Commerce Ventures Ltd.)

Analysis Period

FY2022–FY2026

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EXECUTIVE SUMMARY

Nykaa entered the public markets in 2021 with one of India's most anticipated IPOs, supported by strong brand recognition and high investor expectations. This analysis reviews the company's financial performance over the first five years after listing to understand whether those expectations were supported by business fundamentals.

Based on the financial statements from FY2022 to FY2026, Nykaa delivered strong revenue growth, improved operating profitability, and significantly stronger cash flows. However, profit margins are still relatively modest for the valuation investors initially assigned to the company. Overall, the business has moved in the right direction, but there is still room for improvement before its premium valuation can be considered fully justified.

BUSINESS BACKGROUND

Nykaa operates in India's beauty and lifestyle retail industry through its online platform and physical stores. Following its successful IPO in 2021, the company focused on expanding its product portfolio, strengthening customer engagement, and improving operational efficiency.

The objective of this case study was to evaluate whether Nykaa's financial performance after listing reflected the expectations that accompanied its premium IPO valuation.

FINANCIAL HIGHLIGHTS

Metric	FY22	FY26	Change
Revenue	₹3,774 Cr	₹10,022 Cr	+166%
Net Profit	₹41 Cr	₹204 Cr	+398%
Operating Margin	4.35%	7.50%	+3.15 pts
Operating Cash Flow	-₹354 Cr	₹644 Cr	Positive turnaround
Free Cash Flow	-₹448 Cr	₹493 Cr	Positive

KEY FINDINGS

REVENUE GROWTH

Revenue increased consistently throughout the analysis period, growing from ₹3,774 crore in FY22 to ₹10,022 crore in FY26. This represents a CAGR of approximately 21.6%, indicating that customer demand and business expansion remained strong even after the initial IPO excitement.

PROFITABILITY

Although revenue grew rapidly, profitability improved at a slower pace. Operating margin increased from 4.35% to 7.50%, while net profit rose from ₹41 crore to ₹204 crore. This suggests that the company is gradually improving operational efficiency, but margins are still developing.

CASH FLOW

One of the strongest improvements was seen in cash flow generation. Operating cash flow recovered from a negative ₹354 crore in FY22 to a positive ₹644 crore in FY26. Free cash flow also turned positive by FY25, indicating improved financial discipline and stronger cash generation.

FINANCIAL POSITION

Total assets increased from ₹2,646 crore to ₹4,611 crore during the period, reflecting continued business expansion. At the same time, borrowings also increased, highlighting the importance of maintaining a balanced capital structure as the company grows.

RISKS & CONSIDERATIONS

Net profit margins remain relatively low compared with revenue growth.

Increasing borrowings should be monitored to ensure sustainable financial leverage.

Maintaining high revenue growth may become more challenging as the business matures and competition within the beauty and lifestyle industry increases.

INVESTMENT VIEW

Based on this analysis, I believe Nykaa has made meaningful financial progress since its IPO. The company has demonstrated consistent revenue growth, improving profitability, and significantly stronger cash flow generation. These trends indicate that the business fundamentals have strengthened over time.

However, I believe the premium valuation at the time of the IPO required not only rapid growth but also stronger profitability. While the company is moving in that direction, there is still scope for margin expansion and continued operational improvement.

RECOMMENDATION

Verdict: PARTIALLY JUSTIFIED

Based on this analysis, I believe Nykaa has **partially justified** the premium valuation investors assigned during its IPO. Strong revenue growth, improving cash flows, and better operational performance support a positive long-term outlook. However, continued improvement in profitability and efficient capital management will be important for sustaining shareholder value over the coming years.